15.5 ISSUES AND CHALLENGES FACED BY THE MSME SECTOR

Despite the pivotal role and strategic importance in the context of industrial development and economic growth of the country, the MSME sector experiences several constraints and challenges. The Committee on financial architecture of MSME sector in their Report submitted in the February, 2015 has identified some key issues. These include; i) Equity as a source of financing is underutilised and the prevalence of investment by venture capital and angel investors is low, ii) MSMEs face the problem of delayed payments from their buyers which adversely impacts their working capital as well as their next cycle of production, iii) MSMEs lack adequate information about various schemes and benefits available by the government, iv) Financial institutions/Banks face challenges in credit risk assessment of MSMEs, v) The utilisation of the available credit guarantee and insurance schemes by banks has been low. In general, the sector is inflicted by some of the major challenges including:

i) **Lack of Adequate Capital and Credit**

This is one of the greatest challenges which constrains the growth of MSMEs in our country. Easy and timely access to credit is crucial factor for development and growth of enterprises. The Report of the Working Group on Rehabilitation of sick MSMEs by the RBI has identified this situation as a crucial reason for industrial sickness of this sector. This is further worsened by the complex collaterals instead by the banks, cumbersome sanction procedures and delay in disbursement and high rate of interest on term loans.

ii) **Poor and Inadequate Infrastructural Facilities**

Lack of adequate infrastructure facilities and poor support facilities marked by inadequate access to basic facilities like water, power supply, road/rail connectivity, etc. adversely affect this sector and contribute to enhance their operational costs. This renders the MSMEs less competitive in a challenging market situations.

iii) **Inadequate Access and Marketing Linkages**

Weak marketing linkages characterised by inadequate Government support and patronage, lack of adequate marketing infrastructure/ network facilities continue to be a greater challenge for marketing and sale of MSME products.

iv) **Lack of Skilled Human Resources**

Unavailability of the skilled workforce and descent managerial/entrepreneurial expertise at affordable cost in the proximity of the enterprises is another such big challenge for the MSMEs in our country.

v) **Lack of Access to New Technology**

Continuance of low technology base in the MSME sector results in low productivity by making these enterprises uncompetitive in the ever-widening industry with most of the industries today requiring application of advanced technology in their operations.

vi) **Dilatory and Cumbersome Regulatory Practices**

The MSME sector suffers from the cumbersome and dilatory regulatory practices relating to sanction and disbursement of loans from banks, collateral securities/guarantees, for construction permits, resolving insolvency and taxation, etc. Absence of a common regulatory body and inadequate provisions for start-ups affect the growth of such enterprises. Non-adherence to RBI guidelines regarding revival/rehabilitation of seek enterprises by the Banks is another such constraint that needs to be addressed.

This calls for the need for strategic intervention to improve coordination and linkages between various stakeholders including the Government, industries and other agencies/associations working in this field.

15.5.1 Impact of Demonetisation and GST on the MSME Sector

Micro, small and medium enterprises (MSMEs) in India and abroad have demonstrated considerable strength and resilience in maintaining a consistent rate of growth and employment generation during the global recession and economics lowdown. However, at times, the sector faces operational problems due to its size and nature of business, and is, therefore, relatively more vulnerable in the face of shocks to the economy. MSMEs largely operate in the informal sector and comprise a large number of micro enterprises and daily wage earners. As a result, the sector could not escape the consequences of two major shocks, viz., demonetisation and introduction of goods and services tax (GST). For instance, as per on RBI report (2017), contractual labour in both the wearing apparel and gems and jewellery sectors reportedly suffered as payments from employers became constrained after demonetisation. Similarly, the introduction of GST led to increase in compliance costs and other operating costs for MSMEs as most of them were brought into the tax net.

The structural reforms might have disrupted the performance of MSMEs in the short run. Nevertheless, Demonetisation and GST are expected to be positive in the long run with growth in digitisation, enhanced ease of doing business and creation of database of transactions which would facilitate better access to finance and improve the medium- and long-term growth prospects of the sector.

15.5.2 Impact of the Covid-19 Pandemic on the MSME Sector

COVID-19 pandemic brought in country-wide lockdown and impacted the MSME sector severely mainly due to liquidity crunch. Extended lockdown had negative impact on supply of finished goods, procurement of raw material, cash flow and availability of employees to work in production and supply processes. During April to June 2020, sector faced challenges related to debt repayments, wages/ salaries, statutory dues, etc. As per some survey reports, disruptions caused by the Covid-19 pandemic have impacted MSMEs earnings by 20-50 per cent.

Furthermore, the sudden collapse of trade during the lockdown time affected the MSME sector. India's top exports including labour intensive products starting from gems and jewellery to garments/apparel or sea food are mainly supplied by MSME sector. Similarly, the lockdown affected the imports of raw materials and intermediates which disrupted the supply chain of MSME sector. MSMEs presence in remote areas also faced lots of difficulties due to interrupted supply chain systems and intrastate lockdown provisions. However, enterprises working in essential commodity business were better off in terms of interrupted but predictable cash flows. Some enterprises innovated their ways by shifting focus from non-essential commodities towards essential commodities; like production of hand sanitizer and toiletries, PPE kits, reusable masks, etc. and were able to survive in tough times. The pandemic time has also enhanced digitisation of the MSME sector, with most businesses going digital by either starting a website or expanding their offering on to e-commerce.

Check Your Progress 3

1) Discuss the issues and the challenges faced by the MSME sector in India.

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2) Briefly discuss the impact of policy shocks on the Indian MSME sector and how do you see the sector coping in the medium term?

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3) MSMEs suffered during the lockdown period resulting from the COVID-19 pandemic. Does this hold true for all the MSMEs equally?

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15.6 POLICY INITIATIVES BY THE GOVERNMENT

15.6.1 Legislation and Institutional Support System

Government and regulators through various legislations and directives have attempted to create a conducive environment for the development of MSME sector. One of the major steps in this direction was enactment of the MSMED Act, 2006. The Act facilitates MSMEs in terms of public procurement, delayed payment, marketing support, issues that have been constraining the sector. It also empowers Central and State Government to establish institutions for promotion of MSMEs.

The MSMED Act has the following key provisions:

- Establishment of a National Board for Micro, Small and Medium Enterprises headed by the Minister for MSME. The role of the Board is to examine the factors affecting the promotion and development of MSMEs, review the policies and programmes of the Central Government and make recommendations to facilitate their promotion and development and enhance their competitiveness.

- It provides the legal framework for recognition of the concept of "enterprise" which comprises both manufacturing and service entities. It defines medium enterprises for the first time and seeks to integrate the three tiers of these enterprises, namely, Micro, Small and Medium.

- It empowers the Central Government to undertake programmes and issue guidelines and instructions to develop and enhance the competitiveness of MSMEs.

On 9 May 2007, the erstwhile Ministry of Small Scale Industries and the Ministry of Agro and Rural Industries were merged to form the Ministry of Micro, Small and Medium Enterprises (M/o MSME). This Ministry is responsible for designing policies, promoting/ facilitating programmes/ projects/schemes and monitoring their implementation, with a view to assist MSMEs and helping them to scale up. The Ministry runs various schemes aimed at financial assistance, technology assistance and up-gradation, infrastructure development, skill development and training, enhancing competitiveness and market assistance of MSMEs.

A number of statutory and non-statutory bodies work under the aegis of the Ministry of MSME. These include the Khadi and Village Industries Commission (KVIC) and the Coir Board besides National Small Industries Corporation (NSIC), National Institute for Micro, Small and Medium Enterprises (NIMSME) and Mahatma Gandhi Institute for Rural Industrialisation (MGIRI). The M/o MSME envisions a progressive MSME sector by promoting growth and development of the sector, including Khadi, Village and Coir Industries, in cooperation with concerned Ministries/Departments, State Governments and other Stakeholders, through providing support to existing enterprises, adopting cutting-edge technologies and encouraging creation of new enterprises.

The primary responsibility of promotion and development of MSMEs is of the State Governments. However, the Government of India, supplements efforts of the State Governments through various initiatives. The role of the Ministry of MSME and its organisations is to assist the States in their efforts to encourage entrepreneurship, employment and livelihood opportunities and enhance the competitiveness of MSMEs in the changed economic scenario.

Some of the major policy initiatives introduced by the Government of India for support and promotion of micro, small and medium enterprises in the country include; establishment of Small Industries Development Bank of India (SIDBI) in 1990 for promotion and financing of the MSME sector, Credit Guarantee Fund Trust of Micro and Small Enterprises (CGTMSE) was launched in 2000 to offer credit facilities to eligible borrowers and the Prime Minister's Employment Generation Programme (PMEGP) in 2008 to generate employment opportunities in rural and urban areas through new self-employment ventures / projects / micro enterprises.

15.6.2 Formalisation of MSMEs

As per 73rd round of National Sample Survey (NSS), there are 63.39 million MSMEs in the country. However, a large number of MSMEs exist in the informal sector and are not registered with any statutory authority. Reasons for lack of registration are many and varied. For nano/household type of enterprises, not obtaining registration is an escape from official machinery, paperwork, costs and rent seeking. For them, it is perhaps "the art of not being governed". Registration offers them little by way of tangible benefits. There are other MSMEs who, upon reaching a minimum size seek legitimacy and acknowledgement of their existence to seek benefits or credit for instance, but they too struggle.

Lack of formalisation impacts the sector in terms of development and in availing credit from financial institutions like banks and in terms of policymaking as well as development interventions. Registration provides information on nature of business, location, segmentation, etc. In the absence of a robust system of registration for capturing information on operational units, new and existing units, reliance has to be placed on surrogate data or on national census/ surveys, which are infrequent.

Although the registration of MSMEs engaged in services activities is discretionary, nevertheless, over a period of time, registration has been an intrinsic part of the development of MSMEs itself. Having a registration certificate entitles an MSME for numerous benefits. Particularly after the MSMED Act, 2006, which came into effect from October 2, 2006, availability of registration certificate has assumed greater importance. Some of the direct incentives provided by the Government are:

- Collateral Free loans from banks
- Ease of getting Licenses, approvals and registrations
- Reservation policies to manufacturing / production sector
- Special consideration on international trade fairs
- Octroi benefits
- Waiver of Stamp Duty and Registration Fees
- Exemption under Direct Tax Laws
- Bar Code registration subsidy
- Subsidy on National Small Industries Corporation Limited (NSIC) Performance and

Credit ratings

- Eligibility for Industrial Promotion Subsidy (IPS) subsidy
- Counter Guarantee from Government of India through Guaranteed by Credit Guarantee Fund Trust for Small Industries (CGSTI)
- Protection against delay in payment
- Reduction in rate of Interest from banks
- 15% Credit Linked Capital Subsidy Scheme (CLCSS) subsidy to purchase fully
- Waiver in Security Deposit in Government

- Concession in electricity bills
- Reimbursement of International Organisation for Standardisation (ISO) Certification
- Excise Exemption Scheme
- Preference in procuring from Government
- P15% weightage in price Preference
- 1% exemption on interest rate on Overdraft(OD)
- 50% subsidy for patent registration.

Source: Ministry of MSME

The registration process of MSMEs was radically simplified with the introduction of Udyog Aadhaar, with effect from September 18, 2015. It is an Aadhaar based electronic platform and requires a few basic entries including PAN details. Registration certificate is also issued electronically. In terms of coverage, 68.89 lakh MSMEs (as on June 12, 2019) have registered through this system. Udyog Aadhaar has facilitated registration of MSMEs in a user-friendly way. While Udyog Aadhaar offers a simple mode of registration, it is usually not enough. Often, more is needed e.g., Shops and Establishments, PAN, GST, etc.

The Government and RBI have taken several initiatives and measures to address the issues faced by MSMEs. However, the sector remains informal and vulnerable to structural and cyclical shocks, at times with persistent outcomes. Further, an increasingly globalised world, marked by competition and innovation is posing newer and varied challenges to the MSMEs. The increasing stress in the sector is a matter of concern and therefore, it was felt imperative that a comprehensive review should be undertaken of the entire MSME ecosystem along with global best practices for suggesting measures for a holistic development of the sector. For this, an all-inclusive approach is necessary to be adopted with special focus on appropriate policy and institutional interventions, accelerating incubation and enabling formalisation.

Check Your Progress 4

1) What are the policy initiatives or measures taken by the government to provide an enabling environment to the MSME sector?

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2) 'The policy framework to help the MSME sector grow and develop has not been adequate enough'. Comment on the statement with suitable examples.

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3) What is the need for formalisation the MSME sector? Do you agree with the view that formalisation of the MSME sector will be equally advantageous for the MSMEs as it will be for the Government? Justify adequately.

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4) What are the incentives provided by the Government of India to incentivise MSMEs to come under the purview of organised sector?

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15.7 LET US SUM UP

The Micro, Small and Medium Enterprises (MSMEs) sector constitute the backbone of the Indian economy. There are several ways of defining the term MSME. The definition varies country-wise depending upon variables like turnover, value of assets, loan size, formality, years of experience, type of technology, size of the manufacturing space, and initial investment amount, among others. In India, MSMEs are presently defined based on investment in plant and machinery/equipment. However, a definition based on the turnover is being proposed by the Government. This sector contributes significantly in the economic and social development of the country by fostering entrepreneurship and generating large employment opportunities at comparatively lower capital cost, next only to agriculture. Complementary to large industries as ancillary units, MSMEs contributes significantly in the inclusive industrial development of the country.

Besides this, the sector has been registering a higher growth rate than the overall growth of industrial sector in most of the years. Despite the significant contributions of the MSME sector, the sector continues to face certain constraints including financial/credit crunch, non-availability of suitable technology, ineffective marketing strategy, non-availability of skilled labour, etc. Over the years, the government has been taking initiatives to create an enabling ecosystem where these enterprises are able to access the benefits meant for themselves under a formal and friendly ecosystem and are further capable of meeting the emerging challenges of a globally competitive order. A few among them are: enactment of the MSMED Act, 2006, creating the Ministry of MSME, providing incentives to formalise the MSME sector, etc.

Nevertheless, considering the extent to which the prevalent issues impact the MSME sector, it is essential that an all-inclusive approach is adopted with special focus on appropriate policy and institutional interventions, accelerating incubation and enabling formalisation, addressing infrastructural bottlenecks, facilitating capacity building, enabling access to risk capital, credit and technological interventions for improving underwriting standards and delivery, supporting market linkage and tie-up with public procurement platforms, etc.

15.8 KEY WORDS

COVID-19 : Coronavirus disease 2019 is a mild to severe respiratory illness that is caused by a Coronavirus.

Demonetisation : The act of stripping a currency unit of its status as legal tender.

Formalisation : The act of making formal aiming at bringing more of the unorganised sector into the formal fold.

Gross Domestic Product (GDP) : A monetary measure of the market value of all the final goods and services produced in a country during a specific time period.

Gross Value Added (GVA): A measure of the value of goods and services produced in an area, industry or sector of an economy.

Goods and Services Tax (GST) : An indirect tax (or consumption tax) used in India on the supply of goods and services. It is a comprehensive, multi-stage, destination-based tax that is levied on every value addition made along the supply chain.

Informal Sector : According to National Commission for Enterprises in the Unorganised Sector (NCEUS) informal sector consists of all unincorporated private enterprises owned by individuals or households engaged in the sale and production of goods and services operated on a proprietary or partnership basis and with less than ten total workers.

Lockdown : A lockdown is a restriction policy for people or community to stay where they are, usually due to specific risks to themselves or to others if they can move and interact freely.

Rehabilitation : The action of restoring something that has been damaged to its former condition.

Service Sector : The service sector is the third of the three economic sectors of the three-sector theory. The others are the secondary sector, and the primary sector. The service sector consists of the production of services instead of end products.

15.9 REFERENCES

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15.10 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

1) See Section 15.2 and answer.

2) The Manufacturing Enterprise are engaged in the manufacture or production of goods pertaining to any industry specified in the first schedule to the industries (Development and regulation) Act, 1951) or employing plant and machinery in the process of value addition to the final product having a distinct name or character or use, and they are defined in terms of investment in Plant & Machinery; while the Service Enterprises are engaged in providing or rendering of services and are defined in terms of investment in equipment.

Check Your Progress 2

1) See Section 15.3 and answer.

2) See Section 15.4 and answer.

3) See Section 15.2 & 15.3 and answer.

Check Your Progress 3

1) See Section 15.5 and answer.

2) See Sub-section 15.5.1 and answer.

3) See Sub-section 15.5.2 and answer.

Check Your Progress 4

1) See Section 15.6 and answer.

2) See Section 15.5 & 15.6 and answer.

3) See Sub-section 15.6.2 and answer.

4) See Sub-section 15.6.2 and answer.

UNIT 16 SERVICES SECTOR I: ORGANISED SECTOR - ISSUES AND POLICY

Structure

16.0 OBJECTIVES

After studying this unit, you will be able to explain:

- role of the services sector in the process of development and how the relative share of various sector changes as the economy grows;
- what constitutes the services sector in general and especially in case of Indian economy;
- the pattern of growth of services sector in Indian Economy and changes in relative shares of various sub-sectors within the service GDP;